

UNION BUDGET 2026-27 Overview

From ISM 2.0 to a big boost for manufacturing, Budget 2026-27 reshapes the electronics playbook. Yet, what it delivers and what it leaves unsaid may matter even more for the industry.



The Union Minister for Finance and Corporate Affairs, Nirmala Sitharaman, departing from Kartavya Bhawan to Rashtrapati Bhavan along with the Minister of State for Finance, Pankaj Chaudhary, as well as her Budget Team/senior officials of the Ministry of Finance before presentation of the Union Budget-2026 at Parliament House, in New Delhi on February 01, 2026 (Credit: www.pib.gov.in)

SHUBHA MITRA

The Budget projects GDP growth of 7.4% for 2025-26 and 6.8-7.2% for 2026-27. For electronics, it combines incentives, supply-chain strengthening, and a clear policy thrust towards semiconductors, data centres, and emerging technologies such as artificial intelligence (AI).

MeitY's budget

The allocation for the Ministry of Electronics and Information Technology (MeitY) stands at roughly ₹216.33 billion, up from ₹202.3295 billion in the previous estimates.

Central sector schemes and projects account for nearly ₹177.69 billion of the total. Much of the increase supports semiconductor manufacturing, AI, and electronics components. The Modified Semiconductor and Display Manufacturing Programme records the sharpest rise, almost doubling to ₹80 billion from ₹43 billion a year earlier.

ISM 2.0 announced

A key announcement is the expansion of the India Semiconductor Mission (ISM). Building on ISM 1.0, which laid the foundation for fabs and ecosystem